Canada Bread Company, Limited

NOTICE OF ANNUAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual Meeting of the shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held in the Upper Canada Room of the Royal York Hotel, 100 Front Street West, Toronto, Ontario on the 1st day of May, 1998 at 10:00 o'clock in the forenoon (Toronto time) for the following purposes:

(a) Receiving and considering the Annual Report containing the Report of the Board of Directors and consolidated financial statements of the Corporation comprised of Balance Sheets as at December 27, 1997 and December 28, 1996, Statements of Earnings and Retained Earnings and Changes in Financial Position for the years then ended, together with the auditors' report thereon;

(b) Electing directors;

(c) Appointing auditors and authorizing the directors to fix their remuneration;

(d) To transact such further and other business as may properly come before the Meeting or any adjournment or adjournments thereof.

The accompanying Management Information Circular dated February 28th, 1998 provides additional information concerning the matters to be dealt with at the Meeting.

As a substantial representation of the holders of common shares is required, if you are not able to be present personally, kindly date, sign and return the form of proxy accompanying this notice in the envelope provided for that purpose.

DATED at Toronto this 28th day of February, 1998.

BY ORDER OF THE BOARD

L.J. PALKO
SENIOR VICE-PRESIDENT, FINANCE AND CORPORATE SECRETARY

NOTES:

(1) Holders of common shares registered on the books of the Corporation at the close of business on March 25, 1998 are entitled to notice of the Meeting.

(2) The directors have fixed the close of business on March 25, 1998 as the record date for the determination of the shareholders of the Corporation entitled to notice of and to vote at the Meeting and only persons who are registered as holders of common shares on the books of the Corporation at the close of business on March 25, 1998 or persons who are transferees of common shares acquired after March 25, 1998 and who produce properly endorsed certificates for such common shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

(3) The directors have fixed the hour of 4:30 in the afternoon on the last business day preceding the day of the Meeting or any adjournment thereof, before which time the instrument of proxy to be used at the Meeting must be deposited with the Secretary of the Corporation, c/o Montreal Trust Company of Canada, 151 Front Street West, 8th Floor, Toronto, Ontario, provided that a proxy may be delivered to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time for voting.